

V-Mart Retail delivered a decent set of numbers for Q4FY22 in line with our expectations || current numbers include acquisition of Arvind Life stores (Unlimited)

- **Revenue:** grew by 30% YoY to Rs 4587.8mn.
 - 16% of the Revenue was contributed by Unlimited (recent acquisition in South purchased from Arvind Lifestyle).
 - Ex of unlimited stores growth for V-mart Stores was 10% mainly value led aided by price increase and better product mix led by pick-up in occasion wear.
 - Net Store additions in Q4FY22 was 6 (14 opened and 8 closed)
 - Footfalls increased by 10% on a YoY basis, which was slightly lower than expectations some-bit was due to rise in competition entering V-marts target markets as well.
- **EBIDTA** margins improved to 11% i.e. 150bps higher on a YoY basis mainly aided by lower Raw Mat to Revenue at 65.07% as against 70.2% YoY. Gross margins were aided by price increases and product mix and contribution from Unlimited Store
- **EBIDTA** in absolute terms increased by 50% to Rs 503mn.
- **Q4 is generally the shortest quarter for the company** hence at **PBT** levels the company incurred a loss of Rs 80mn as against a loss of Rs 22.9mn. (LY Q4FY21 Rental concession were higher at Rs 52.91mn vs Rs 11.4mn in current quarter). Depreciation and Interest cost rose by 47% and 61% YoY due to rentals expense normalizing.
- **PAT** too was a loss of 26mn as against loss of 15mn YoY

Outlook

- LTL for March quarter was positive on a lower base, however still remains lower. Cumulatively LTL still in the negative zone which the management expects to improve
- Consumer sentiment in T2&T3 impacted due to inflation. Monsoon and farm income improvement will push demand.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	16,620	10,755	16,662	27,094	33,195
Adjusted net profit	494	(62)	116	715	1,262
Free cash flow	227	469	(621)	1,947	2,055
EPS (Rs)	27.2	(3.1)	5.9	36.2	63.9
P/E (x)	119.5	(1,032.6)	551.6	89.8	50.9
P/B (x)	12.9	7.8	7.6	7.0	6.2
EV/EBITDA (x)	30.0	52.9	35.7	22.6	17.6
D/E	0.0	-	-	-	-
RoCE (%)	26.1	3.4	8.7	19.2	24.7
RoE (%)	10.8	(0.8)	1.4	7.8	12.2
Dividend yield (%)	0.1	-	-	0.0	0.1

Source: Company

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	3,773	15

Market data

Current price	Rs	3,280
Market Cap (Rs.Bn)	(Rs Bn)	65
Market Cap (US\$ Mn)	(US\$ Mn)	835
Face Value	Rs	10
52 Weeks High/Low	Rs	4848.8 / 2652.5
Average Daily Volume	('000)	19
BSE Code		534976
Bloomberg		VMART.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	46.20	46.20
Public	53.80	53.80
Total	100	100

Source: BSE

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- No further price increase planned and normalized discount and promotions would start.
- Store expansion plans intact with +20% store area addition.

Conference Call Key Takeaways

DEMAND

- Mobility further improved with school & colleges re-opening that aided footfalls and sales. Overall business normalizing
- Festive/occasion related sales have picked up. Holi was better than last 2 years and even EID witnessed good sales.
- Metro's and T1 related stores did better as inflation-impact to those customers was relatively lower v/s T1&T2 where customers with income below Rs 25k/month haven't yet come back. Farm income and harvest related income is yet to come.

Gross Margins Improvement

- Entire inflation (on account of cotton yarn) was passed on to the consumers
- ASP rose by 21% and Apparel ASP rose by 26% led by i) price increase +17%, merchandise and mix shift towards occasion wear and premium iii) Unlimited has 3-5% higher gross margins which contributed 16% of revenue
- Lower discounting as very limited inventory was available. Shrinkage for Q4FY22 was @ -0.6%v/s +1.3% YoY
- **Going forward** not looking at further price increase but would work on back-end to reduce costs and

COMPETITION:

- Organized players are expanding in V-marts target markets and do impact footfalls initially.

UNLIMITED integration (business already profitable)

- Revenue for Q4FY22 stood at Rs 734mn and for FY22 stood at Rs 2166mn (7 months)
- Mall stores did well
- EBIDTA positive
- Plans to add 10-12 Stores in FY23 and continue the same brand name after market survey.
- V-mart inventory in store @ 85% v/s 65% in Q3FY22

ONLINE business

- Contributed 2% to Sales target intact to reach 5% in next 2 to 3 years. Customer acquisition cost still slightly higher

FINANCIALS

- Inventory higher on account of up stocking for coming festive season.
Generally April to June are bigger months || Plan to reduce it from 110 days to 90 days by end of FY23
- Capex FY22 Rs 1.5bn (Rs 570 to Rs 580mn for 73 Unlimited stores + Rs 400 to 450mn towards 39 new V-mart stores + Rs 100mn towards refurbishment + Rs 350mn towards ware house land acquisition)
- Capex FY23 ~Rs 1.5bn (Rs 700-800mn towards warehouse + Rs 600mn towards 60 stores + Rs 100 to 200mn towards refurbishment and Rs 50-100mn towards digital)

Quarterly Performance Analysis

Exhibit 1

Particulars (Rs Mns)	Q4FY22	Q4FY21	YoY (%)	Q3FY22	QoQ (%)
Revenue	4587.8	3518.7	30.4	6920.2	(33.7)
Other Income	27.9	43.4	(35.8)	26.0	7.4
Total	4615.7	3562.2	29.6	6946.1	(33.6)
Total RM Cost	2985.3	2470.1	20.9	4359.5	(31.5)
Gross Profit	1602.4	1048.7	52.8	2560.6	(37.4)
Employee Cost	510.7	355.4	43.7	535.0	(4.6)
Other Expenses	588.5	357.7	64.5	672.5	(12.5)
Total	4084.5	3183.2	28.3	5567.0	(26.6)
EBIDTA	503.2	335.6	50.0	1353.2	(62.8)
Depreciation	376.0	255.6	47.1	403.8	(6.9)
EBIT	155.2	123.5	25.7	975.3	(84.1)
Interest Cost	235.2	146.4	60.7	211.6	11.2
PBT and exceptional item	-80.1	-22.9	249.6	763.7	(110.5)
exceptional item	0.0	0.0		0.0	
PBT	-80.1	-22.9	249.6	763.7	(110.5)
Taxes	-53.9	-8.2		192.6	
Reported PAT	-26.1	-14.7	77.2	571.1	(104.6)
EPS	-1.3	-0.7		28.9	
as a % to sales					
RM	65.1%	70.2%		63.0%	
GPM	34.9%	29.8%		37.0%	
Employee Costs	11.1%	10.1%		7.7%	
Other expenses	12.8%	10.2%		9.7%	
OPM	11.0%	9.5%		19.6%	
Tax rate (on PBT)	67.4%	35.6%		25.2%	

Source: Dalal & Broacha Research, Company

Exhibit 2

Particulars	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
Stores	266	266	264	274	279	282	368	374	380
<i>Net Additions</i>	<i>9</i>	<i>0</i>	<i>-2</i>	<i>10</i>	<i>5</i>	<i>3</i>	<i>86</i>	<i>6</i>	<i>6</i>
Retail Space YTD in lacs Sq feet	22.1	22.2	22.0	23.0	23.00	23.20	31.99	33.00	33.00
Sales Per Sq Ft Per Mth In Rs as per Presentation	619	357	299	895	569	533	347.00	860.00	380.00
Segment Contribution									
-Fashion (%)	92	90	91	92	91	91	91	93	91
-Kirana (%)	8	10	9	8	9	9	9	7	9
Total	100	100	100	100	100	100	100	100	100
Sales Mix									
Apparels (%)	78.7	78.3	79.3	79.3	77.9	80	79.4	81.6	80.1
Non Apparels (%)	13.1	11.2	12.1	14	12.7	10.7	11.2	11.1	10.8
Kirana (%)	8.2	10.5	8.6	6.7	9.4	9.3	9.4	7.3	9.1
Total	100	100	100	100	100	100	100	100	100

Source: Dalal & Broacha Research, Company

Exhibit 3

Particulars	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
FootFall (lacs)	82	15	35	83	72	31	66	111	80
Conversion Rate	55%	68%	60%	62%	61.10%	70.70%	64.60%	60.60%	63.00%
Average Selling Price (Rs)									
Total (Rs)	222	179	183	262	202	193	197	292	244
Total Vmart									220
Total Unlimited									523
Apparels (Rs.)	357	247	254	446	327	295	302	503	411
Apparels Vmart									384
Apparels Unlimited									568
Transaction size (Rs)									
Vmart	790	824	844	968	851	848	838	1096	981
Unlimited									898
									1776
Store Count YTD	266	266	264	274	279	282	368	374	380
Tier 1	58	59	59	63	65	65	100	100	104
Tier 2	35	35	35	37	37	38	56	55	54
Tier 3	141	139	138	140	142	143	157	162	166
Tier 4	32	33	32	34	35	36	55	57	56

Source: Dalal & Broacha Research, Company

Valuation

Valuation: We have reworked our numbers and for FY23e and FY24e on EV/EBITDA basis, the stock trades at 22.6x and 17.6x respectively **We value the company at 20x EV/EBIDTA on FY24 numbers to arrive at a target price of Rs. 3773, i.e 16% upside.**

We had maintain **Accumulate**

Financial

V-Mart Retail Ltd											
P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	16,620.2	10,754.6	16,661.8	27,094.3	33,194.6	Net Profit	494.1	(62.0)	116.4	715.2	1,262.3
Cost of sales	(14,482.7)	(9,442.5)	(14,618.5)	(23,750.7)	(28,856.8)	Add: Dep. & Amort	939.2	1,029.7	1,307.0	1,584.0	1,773.2
Operating Profit	2,137.5	1,312.1	2,043.3	3,343.6	4,337.8	Cash profits	1,433.3	967.7	1,423.4	2,299.3	3,035.5
Depreciation	(939.2)	(1,029.7)	(1,307.0)	(1,584.0)	(1,773.2)	(Inc)/Dec in					
PBIT	1,198.3	282.4	736.3	1,759.6	2,564.6	-Sundry debtors	-	-	-	-	-
Other income	45.5	210.4	139.6	221.1	241.8	-Inventories	(1,489.4)	496.1	(2,399.2)	(1,483.2)	(1,383.7)
Interest	(547.8)	(589.5)	(771.9)	(1,024.5)	(1,119.5)	-Loans/advances	(22.6)	(9.8)	123.8	-	-
Profit before tax	695.9	(96.6)	104.0	956.2	1,686.8	'-Current Liab and Provisions	254.6	(145.0)	1,141.5	1,968.8	674.8
Exceptional and Extra Ordin	-	-	-	-	-	'- Other Non Current Assets	(8.1)	(794.7)	0.1	(77.7)	(85.5)
PBT (Post Extra Ordinary)	695.9	(96.6)	104.0	956.2	1,686.8	Change in working capital	(1,265.4)	(453.3)	(1,133.7)	407.9	(794.4)
Provision for tax	(201.9)	34.6	12.4	(241.0)	(424.6)	CF from Oper. activities	167.9	514.4	289.7	2,707.2	2,241.1
Reported PAT	494.1	(62.0)	116.4	715.2	1,262.3	CF from Inv. activities	(245.0)	(3,911.5)	(207.8)	(2,253.4)	(2,003.0)
MI	-	-	-	-	-	CF from Fin. activities	(29.1)	3,621.9	(6.0)	(35.8)	(63.1)
Adjusted PAT	494.1	(62.0)	116.4	715.2	1,262.3	Cash generated/(utilised)	(106.2)	224.8	75.8	418.1	175.0
						Cash at start of the year	156.1	49.9	274.7	350.5	768.6
						Cash at end of the year	49.9	274.7	350.5	768.6	943.5

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	181.5	197.0	197.5	197.5	197.5	OPM	12.9	12.2	12.3	12.3	13.1
Reserves	4,407.8	8,055.2	8,298.7	8,978.2	10,177.3	NPM	3.0	(0.6)	0.7	2.6	3.8
Net worth	4,589.3	8,252.2	8,496.2	9,175.7	10,374.8	Tax rate	(29.0)	(35.8)	11.9	(25.2)	(25.2)
Non Current Liabilities	4,439.6	5,381.3	8,538.0	11,369.3	12,413.7	Growth Ratios (%)					
Current Liabilities	3,207.6	2,631.9	3,960.6	6,128.5	6,876.7	Net Sales	15.9	(35.3)	54.9	62.6	22.5
CAPITAL EMPLOYED	12,236.5	16,265.4	20,994.8	26,673.4	29,665.2	Operating Profit	60.9	(38.6)	55.7	63.6	29.7
Non Current Assets	7,060.6	7,446.2	11,597.7	15,297.3	16,645.0	PBIT	13.9	(76.4)	160.7	139.0	45.7
Fixed Assets	6,695.1	6,987.4	11,173.6	14,873.2	16,220.9	PAT	(24.8)	(112.6)	(287.7)	514.4	76.5
Non Current Investments	33.2	36.2	37.8	37.8	37.8	Per Share (Rs.)					
Deferred Tax Asset	160.1	252.7	386.3	386.3	386.3	Net Earnings (EPS)	27.2	(3.1)	5.9	36.2	63.9
Long Term Loans and Advan	118.9	128.3	-	-	-	Cash Earnings (CPS)	79.0	49.1	72.1	116.4	153.7
Other NON Current Assets	53.4	41.6	413.8	418.2	423.0	Dividend	1.7	-	-	0.8	2.0
Current Assets	5,175.9	8,819.2	8,983.4	10,957.9	12,597.3	Book Value	252.8	418.8	430.2	464.6	525.3
Current investments	45.8	3,153.6	1,210.6	1,210.6	1,210.6	Free Cash Flow	(4.2)	(172.4)	4.1	23.0	12.1
Inventories	4,779.2	4,283.1	6,682.2	8,165.4	9,549.1	Valuation Ratios					
Trade Receivables	-	-	-	-	-	P/E(x)	119.5	(1,032.6)	551.6	89.8	50.9
Cash and Bank Balances	49.9	274.7	350.5	768.6	943.5	P/B(x)	12.9	7.8	7.6	7.0	6.2
Short Term Loans and Advan	0.3	0.7	5.2	5.2	5.2	EV/EBITDA(x)	30.0	52.9	35.7	22.6	17.6
Other Current Assets	300.7	1,107.2	734.9	808.2	888.8	Div. Yield(%)	0.1	-	-	0.0	0.1
CAPITAL DEPLOYED	12,236.5	16,265.4	20,994.8	26,673.4	29,665.2	FCF Yield(%)	(0.1)	(5.3)	0.1	0.7	0.4
						Return Ratios (%)					
						ROE	10.8	(0.8)	1.4	7.8	12.2
						ROCE	26.1	3.4	8.7	19.2	24.7

Source: Dalal & Broacha Research, Company

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